SAUDI ARABIA

Table 1	2022
Population, million	32.2
GDP, current US$ billion	1110.0
GDP per capita, current US$	34497.9
School enrollment, primary (% gross)[a]	102.1
Life expectancy at birth, years[a]	76.9
Total GHG emissions (mtCO2e)	756.7

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2021).

Following the strong performance in 2022, the economy is expected to report a contraction in 2023 fueled by OPEC+ consecutive decisions of oil production cuts to support price stability. Lower oil receipts as a result of contracting oil production levels and subdued prices will place the fiscal balance in deficit and narrow current account surplus. Inflation remains muted. A prolonged war in Ukraine, volatile oil prices, and tighter-than-needed global financial conditions are key risks to the outlook.

Key conditions and challenges

To realize many of the objectives formulated in the long-term diversification plan (Vision 2030), Saudi Arabia have set forward an ambiguous investment plan to promote sustained, inclusive, greener, and private sector-led growth. With weak foreign direct investment pouring into Saudi Arabia for several years now, still less than 1 percent of GDP, the Public Investment Fund (PIF) has taken on a larger developmental role in the domestic economy through funding many giga-projects and investments related to the Vision 2030. Despite overture to Western investors, Saudi Arabia might attract new investments from BRICS members since it formally joined the economic bloc.

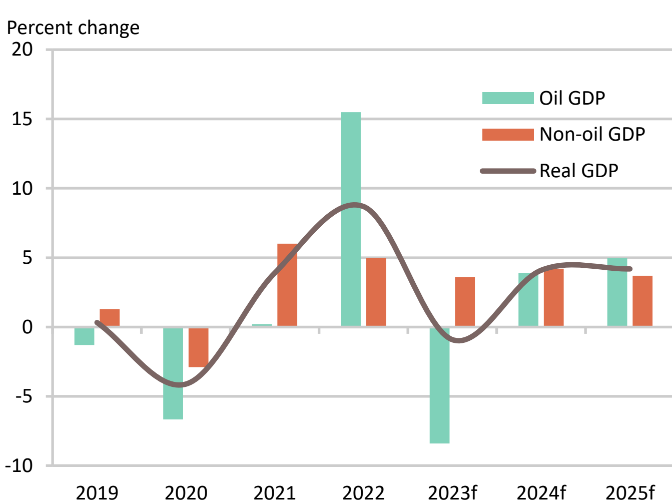
Downside risks and uncertainties to the outlook are numerous. These include downward pressures on oil prices because of tensions among OPEC+ members on production quotas which could result in members leaving the alliance and increasing global supply. Furthermore, downward revisions of China's growth prospects will have adverse impact on Saudi Arabia's main export market. Other risks to the outlook include lower global activity linked to new developments around Russia's invasion of Ukraine, and tighter-than-needed global financial conditions. Delays or digressions in implementing diversification structural reforms highlighted in the Vision 2030, perhaps due to international shocks or because of the uncomfortable fiscal position, would reduce prospects for stronger long-term growth and employment.

Recent developments

After a stellar performance in 2022, Saudi Arabia is experiencing an economic downturn which is fueled by OPEC+ consecutive decisions of oil production cuts to support price stability. Latest official data for Q2-2023 showed that the economy contracted by 0.1 percent q/q after a 1.4 percent q/q decline in Q1-2023. This translates to annual growth easing from 3.8 percent in Q1-2023 to 1.1 percent in Q2-2023. The strong performance of private non-oil activities during Q1 and Q2-2023 fell short of compensating for the decline in oil activities. Furthermore, the recent decision by Saudi Arabia to voluntarily cut oil production by an additional 1 mbpd during H2-2023 will exert a further drag on economic activity. High frequency data suggests that the non-oil sector is also losing steam with August's PMI recording 56.6—still expansionary but nonetheless the lowest reading in 8 months—while weaker private sector credit growth indicate dampening consumption on the back of tighter monetary conditions.

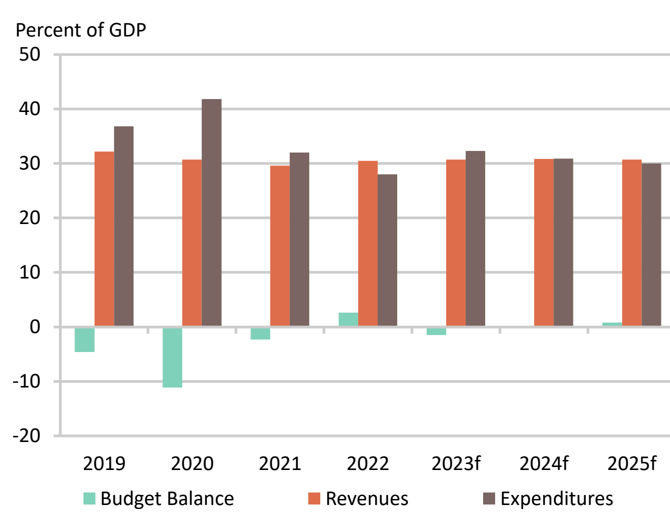
Lower oil revenues, as a result of lower prices and production levels, coupled with looser fiscal policy (up by 18 percent y/y) widened the fiscal deficit from SAR 2.9 billion to SAR 5.3 billion during Q1 and Q2-2023, respectively. Financing needs are

FIGURE 1 Saudi Arabia / Annual real GDP growth



Sources: GASTAT Saudi Arabia and World Bank staff estimates.

FIGURE 2 Saudi Arabia / Central government operations



Source: World Bank.

covered by issuing a US$10 billion sovereign bond while state oil firm Aramco introduced a performance-linked dividend, on top of its annual base dividend, to shore up budgetary funds. Furthermore, reports suggest more Aramco share sales by the end of this year similar to the 2019 IPO.

The Q1-2023 balance of payments data shows the current account surplus narrowing to US$17.7 billion (down from US$39.6 billion one year ago) driven primarily by a 14.6 percent fall in oil receipts. Further surplus narrowing is anticipated during this year with even lower oil revenues. The Saudi Central Bank's (SAMA) foreign reserves reached US$407 billion in July 2023, the lowest in 14 years, suggesting that oil revenues are being channeled to PIF to finance its larger investment role in the local economy.

The number of Saudis working in the private sector continues to increase. According to administrative data, the number of Saudi nationals employed in the private sector in Q1 2023 reached 2.6 million, whereas the number of non-Saudi nationals in the private sector increased to 7.8 million. The overall labor force participation rate and the employment-to-population ratio increased during the past year from Q1-2023, and the unemployment rate decreased over the same period. These changes in labor market indicators were primarily driven by improvements among Saudis, except for the unemployment rate that declined more rapidly among non-nationals. The labor force participation rate among Saudis increased from 50.1 percent to 52.4 percent and the employment-to-population ratio among Saudis increased from 45.1 percent to 48 percent. The labor force participation rate and employment-to-population ratio also continue to increase for Saudi women, and it does more rapidly than for Saudi men, reaching 36 percent and 30.2 percent, respectively, in Q1 2023.

Outlook

The oil sector is expected to contract by 8.4 percent during 2023 to reflect oil production curbs agreed within the OPEC+ alliance. Meanwhile, non-oil sectors are expected to cushion the contraction, growing at 3.6 percent, supported by looser fiscal policy, robust private consumption, and public investment drive. As a result, overall GDP will show a contraction of 0.9 percent in 2023 before reporting a recovery of 4.1 percent in 2024 to reflect expansions of oil and non-oil sectors. A relatively strong US dollar, restrictive monetary policy, and a cap on domestic fuel prices will curb any upward pressure on prices; keeping the inflation rate hovering around 2.4 percent in the medium term.

The continued loose fiscal spending and the significant reduction in oil receipts during 2023 are expected to flip the fiscal balance into a deficit of 1.5 percent of GDP. Aramco's distribution of performance-linked dividends starting Q3-2023 for six quarters should improve the fiscal position in the medium term—supported by the recovery in oil production levels. As budgetary financing needs grow, the debt-to-GDP ratio is expected to rise to 24.8 percent in 2023 before moderating to 23.8 percent in the medium term. The off-budget capital spending by PIF will continue to remain substantial.

Even with the anticipated fall in oil export receipts in 2023, exports will continue to surpass imports. As a result, the current account surplus is expected to continue, yet narrow significantly from last year, to reach 5.6 percent of GDP in 2023.

TABLE 2 Saudi Arabia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2020	2021	2022	2023e	2024f	2025f
Real GDP growth, at constant market prices	-4.3	3.9	8.7	-0.9	4.1	4.2
Private consumption	-8.1	9.4	4.8	4.2	3.5	3.0
Government consumption	3.3	0.8	6.7	6.0	3.0	3.0
Gross fixed capital investment	-10.4	10.1	24.1	7.5	4.0	3.3
Exports, goods and services	-10.6	1.0	18.7	-8.3	5.3	6.4
Imports, goods and services	-19.8	8.3	12.0	5.4	4.3	4.3
Real GDP growth, at constant factor prices	-4.3	3.9	8.7	-0.9	4.1	4.2
Agriculture	-1.7	2.6	3.9	2.0	2.0	2.0
Industry	-6.0	1.7	13.2	-5.3	2.8	3.5
Services	-2.2	6.7	3.5	4.9	5.7	5.0
Inflation (consumer price index)	3.4	3.1	2.5	2.6	2.3	2.2
Current account balance (% of GDP)	-3.1	5.1	13.6	5.6	5.7	6.8
Net foreign direct investment inflow (% of GDP)	0.1	-0.6	-1.0	-0.8	-0.9	-1.0
Fiscal balance (% of GDP)	-11.1	-2.3	2.6	-1.5	-0.1	0.8
Revenues (% of GDP)	30.7	29.6	30.5	30.4	30.8	31.0
Debt (% of GDP)	33.7	28.8	23.7	24.8	24.4	23.2
Primary balance (% of GDP)	-10.1	-1.4	3.3	-0.5	0.9	1.7
GHG emissions growth (mtCO2e)	-1.2	2.8	3.0	0.0	2.6	3.0
Energy related GHG emissions (% of total)	69.6	70.5	70.3	69.9	70.2	70.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.